NCBA Buy out by Stanbic Holdings; Potential Acquisition Price KES 100.5

According to Bloomberg, Standard Bank Group, through its Kenyan representative Stanbic Holdings, is in talks to acquire NCBA Group. The Bloomberg report highlighted that Stanbic has already received internal approvals to proceed with the acquisition. However, top leadership from both banks have not confirmed the development. If this acquisition materializes, it would create the third-largest lender by assets, approximately KES 1.14 Tn. By the close of H1'2025, NCBA and Stanbic's assets stood at KES 662.96 Bn and KES 473.72 Bn, respectively. The acquisition aligns with Standard Bank's long-term strategy of growing its footprint in East Africa organically.

Through this lens, below is a historically similar transactions in the region ;

Acquirer	Bank Acquired	Acquisition Multiple
GT Bank	Fina Bank Group	2.2x
Centum	K-Rep Bank	1.2x
Mwalimu SACCO	Equatorial Commercial Bank	2.2x
I&M Holdings	Giro Commercial Bank	1.6x
DTBK	Habib Bank Kenya	1.3x
Access Bank	NBK	1.3x
Average		**1.6x**

If the transaction were to materialize, we estimate an acquisition multiple of 1.4, recognizing that significant shareholders of NCBA Group (First Chartered Securities at 14.44% and Enke Investments at 13.20%) could leverage this multiple to potentially push it higher. Based on NCBA's latest earnings, their book value per share is approximately KES 71.8, which would place the acquisition price at around KES 100.52 a reasonable acquisition price. This value may be adjusted upwards, taking into account the time required to close the transaction and the company's recent earnings growth. *As NCBA's book value continues to rise, the acquisition multiple is also likely to increase. For now, the ideal exit or take-profit level stands at KES 100.5.*